



MINICASE CHALLENGE

ĐỀ CASE STUDY

CLB NHÀ KINH TẾ TRẺ (YEC - NEU)
YOUNG ECONOMISTS CLUB



BUSINESS BACKGROUND



Business context

SiamDairy Thailand, a mid-sized dairy company with a 15% market share, has been experiencing declining profitability despite steady revenue growth. The company competes with Dutch Mill (40%) and Thai-Denmark (25%), offering products like fresh milk, yogurt, flavored milk, and dairy-based snacks. Dutch Mill benefits from a strong distribution network that provides superior access to supermarkets and convenience stores, making it harder for SiamDairy to expand in retail channels. Thai-Denmark, as a government-backed brand, enjoys stronger consumer trust and potentially better pricing policies.

1. **Dutch Mill** (Market Leader - 40% Market Share)
 - **Positioning:** Targeting the mass market, offering affordable dairy products, widely available in convenience stores and supermarkets. Known for flavored milk and drinking yogurt.
 - **Price Segment:** Low to Mid-Range (12-25 THB per unit).
2. **Thai - Denmark** (Premium & Heritage Brand - 25% Market Share)
 - **Positioning:** A premium dairy brand with a traditional image, focusing on high-quality local milk with no additives.
 - **Price Segment:** Mid to High-Range (20-40 THB per unit).
3. **SiamDairy** (Challenger Brand - 15% Market Share)
 - **Positioning:** A mid-tier brand focusing on product innovation, including unique flavored milk and healthier dairy alternatives (low-fat, plant-based).
 - **Price Segment:** Mid Range (18-30 THB per unit).

While revenue has grown 6% annually, profit margins have shrunk from 10% in 2021 to 6% in 2024 due to increasing costs, shifting consumer preferences, and inefficient distribution. The CEO is seeking a profitability optimization strategy that enhances margins while ensuring long-term competitiveness.



FINANCIAL & OPERATIONAL DATA



Revenue & Profitability Overview (2024)

7,500 million

REVENUE

Revenue: THB 7,500 million
(+6% YoY growth)

450 million

NET PROFIT

Net Profit: THB 450 million
(6% margin, down from 10% in 2021)

12%

EBITDA MARGIN

32%

GROSS MARGIN



Cost Breakdown (2024)

COST CATEGORY	% OF TOTAL COST	THB MILLION
Raw Materials (Milk & Ingredients)	45%	3,750
Distribution & Logistics	18%	1,350
Marketing & Promotions	12%	900
HR & Operations	15%	1,125
Other Expenses	10%	750

Sales Channel Performance

Sales Channel	% Revenue	THB Million	Gross Margin
Supermarkets & Hypermarkets	50%	3,750	30%
Convenience Stores & Traditional Shops	30%	2,250	28%
E-commerce & D2C	10%	750	40%
B2B (Hotels, Bakeries, Cafés)	10%	750	35%



Market Challenges & Trends

01

Rising Raw Material Costs: 40% of dairy ingredients are imported, increasing costs by 10% YoY.

02

Shifting Consumer Preferences: Growth in plant-based milk (+12% YoY) vs. traditional dairy (+3% YoY).

03

Weak E-Commerce Performance: Online sales account for only 10% of revenue, compared to 20% for competitors.

04

Distribution Challenges: High reliance on supermarkets (50% of sales) leading to lower margins.

05

High Employee Turnover: 25% turnover rate in sales and production, increasing HR costs by 6% YoY.



Key strategic considerations

SiamDairy's leadership is currently evaluating critical trade-offs that will shape the company's future profitability. These considerations are not mandatory questions but serve as critical decision points, helping participants analyze trade-offs such as:

- **Short-term** profitability vs **long-term** market share.
- **Narrowing** vs **diversifying** the product portfolio.
- **Securing** local supply vs **maintaining** import flexibility.

These strategic considerations influence multiple aspects of the business, including sales and pricing strategies, marketing innovation, financial efficiency, and operational sustainability.



YOUR TASK

You are a strategic consultant for SiamDairy's CEO. Your team must analyze these financial and operational challenges and develop a profitability optimization plan, addressing below considerations:

1. Sales & Distribution

- Should SiamDairy shift more focus to e-commerce and D2C sales to improve margins?
- Should the company raise prices or introduce a dynamic pricing model?
- Can selling to hotels, cafés, and bakeries increase profitability?

2. Marketing & Consumer Engagement

- How can SiamDairy better position itself in the growing lactose-free and plant-based market?
- What digital marketing or influencer strategies can increase brand engagement and e-commerce sales?
- Should the company reformulate products (e.g., low-sugar, high-protein dairy) to attract health-conscious consumers?

3. Finance & Cost Management

- Where can SiamDairy cut costs without reducing product quality?
- Should the company renegotiate supplier contracts or invest in local dairy farms to reduce import dependency and stabilize costs?
- What financial strategies can improve cash flow and working capital efficiency?



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4. Supply Chain & Operations

- Can SiamDairy invest in local dairy farms to reduce reliance on imports and stabilize raw material costs, and enhance long-term supply security?
- What strategic logistics improvements (warehousing, distribution partnerships) could cut supply chain expenses?
- Should SiamDairy leverage automation and AI-driven forecasting to enhance production planning, minimize waste, and improve supply chain resilience?

5. Human Resources & Workforce Efficiency

- How can the company reduce turnover and increase employee engagement to control HR costs?
- How can a redesigned sales incentive structure align employee performance with higher revenue and sustainable profitability?
- How can SiamDairy integrate AI, CRM, and digital workforce tools to enhance employee productivity, streamline workflows, and improve operational efficiency?



DELIVERABLES

Each team must submit slide presentation covering:

- 01** Analysis of Key Challenges & Root Causes
- 02** Strategic Recommendations with Justifications
- 03** Financial Impact Assessment
- 04** Implementation Plan & Timeline (Short, Medium, Long-Term Actions)



Example Financial Projections Table

INITIATIVE	EXPECTED COST SAVINGS (THB Million)	EXPECTED REVENUE IMPACT (THB Million)	MARGIN IMPROVEMENT (%)
Shift 5% of supermarket sales to D2C/e-commerce	N/A	375	+1.5%
Renegotiate supplier contracts (-5% raw material costs)	168	N/A	+0.6%
Invest in local dairy sourcing (-10% import reliance)	250	N/A	+1.0%
New plant-based product line launch	(50)	500	+1.2%
Reduce turnover by 10% (HR cost reduction)	112	N/A	+0.4%



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